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Chevron and Exxon Aren't Oil Giants Anymore. They're Electron Giants for the AI Age

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Over the last month, I have been searching for non-consensus ideas around the next phase of AI driven by inference demand through the rise of AI agents and the embodiment of AI, which to me marks a massive macro regime inflection point for investments. A macro regime shift allows for fresh ideas in areas that investors have not been focused on during the prior regime. As Marc Andreessen recently said at the Reagan Foundation Economic Forum, the emergence of general-purpose robotics what he refers to as the “rise of embodiment” will likely become the largest industry in the history of the world. Embodiment is not just about humanoids; it is about phones, AI agents (digital employees), robots, and self-driving cars. I covered this in my first deep-dive research piece for 22V, [*From Cloud LLMs to Embodied AI: The Next Hardware Investment Frontier and Macro Regime Shift*](#).

Last week was a pivotal week in my opinion for where markets stand on the regime shift. I listened to the Lex Fridman podcast featuring an interview with Google CEO Sundar Pichai. In that interview, he mentioned that at the recent Google I/O Developer event, he said, “The world is adopting AI faster than ever before,” noting that AI usage across Google’s products jumped from 9.7 trillion tokens in April 2024 to 480 trillion in April 2025 a 50× increase year-on-year. Anything growing at a pace of 50x is worth paying attention to as an investor. Later that same day, I listened to Oracle founder Larry Ellison echo the trend on the company’s earnings call, calling AI demand “astronomical” and “insatiable,” and sharing that a customer had said, “We’ll take all the capacity you have, wherever it is. We’ll buy every megawatt you can deliver, anywhere in the world.”

This year has left many investors doubting the AI trade. It started with DeepSeek, followed by reports around Microsoft canceling data center leases, and then the tariffs. I highlighted in this week’s video that the token growth Sundar Pichai referenced ironically began to surge in the weeks after the DeepSeek release as AI demand accelerated, inference demand expanded, and we began the next phase of AI agents and embodiment. These eye-opening statements by two of the leaders in AI demand underscore the foundational shift now officially underway: artificial intelligence is catalyzing a new supercycle in electricity demand one that traditional infrastructure is not equipped to serve. I explored this in greater depth in my second deep-dive piece, [*Electrify and Amplify: How Bits and Bytes Drive Demand for Watts and Volts*](#).

To highlight the supply-demand imbalance, Google, Microsoft, Amazon, and Meta have each made aggressive moves to secure energy for their AI expansion. Microsoft signed a first-of-its-kind agreement with Helion for fusion power, a landmark bet on a future energy source. Amazon, through a deal with Talen Energy, acquired a data center campus located directly next to a nuclear power plant, securing a source for 24/7 carbon-free power. Google has also pursued next-generation clean energy, signing a geothermal energy deal with Fervo and actively exploring advanced nuclear solutions. The urgency is clear across the sector as companies work to secure the massive power blocks needed for AI growth.

This wave of hyperscaler investment in next-gen energy sources comes with a crucial caveat: these solutions are not arriving fast enough. Most new advanced nuclear projects won’t begin delivering power until after 2030, and the intermittency of wind and solar cannot alone meet the 24/7 power needs of data centers. As AI workloads become increasingly power-intensive, the market requires dispatchable, scalable, low-carbon power and it needs it soon.

As AI becomes embodied, moving off the cloud and into physical space through robots, humanoids, autonomous vehicles, smart appliances, and wearable agent, the nature of electricity demand will evolve dramatically. Unlike traditional data

centers that are concentrated and centrally planned, embodied AI will generate a vast, decentralized layer of 24/7 compute demand embedded in warehouses, hospitals, homes, vehicles, and factories. These edge applications won't tolerate latency or downtime, making local, dispatchable power essential. This decentralization of AI compute creates a mosaic of new electricity demand zones, many in areas where solar and nuclear may not be feasible at scale or where grid interconnection lags. While advanced nuclear technologies offer promise for clean baseload power, the timeline for significant deployment remains beyond 2030. In contrast, natural gas offers a ready, scalable, and geographically flexible solution to meet this immediate surge. Chevron and ExxonMobil, with their unmatched natural gas reserves, pipeline infrastructure, and increasingly modular gas-to-power deployments, are uniquely positioned to meet this dispersed, real-time energy need. In this sense, the embodiment of AI doesn't just increase the quantity of power required, it transforms where, how fast, and how reliably that power must be delivered.

This is where I arrive in the long-forgotten historically cyclical world of Chevron and ExxonMobil who have emerged as crucial players in the bridge to this AI transition. Notably, they are now among the two largest power producers in the United States, a fact often overlooked by generalist investors still thinking of them strictly as oil companies. Their pivot over the last decade toward natural gas-fired power plants, integrated with carbon capture and storage (CCS), offers a scalable near-term solution to benefit from the power crunch. If electrons are the essential fuel for the exponential rise in AI-driven electricity demand, and the system faces a structural shortfall, then Chevron and ExxonMobil are uniquely positioned to capture this opportunity. In a world where electricity becomes the limiting factor to AI growth, their role as energy providers becomes central to the entire AI supply chain.

Chevron's efforts are among the most advanced. In partnership with GE Vernova and Engine No.1, it is developing a strategy to build new gas-fired power capacity specifically targeting data centers. Confirming the strategy, Chevron's Vice President of New Energies, Daniel Droog, stated, "We're actually developing a business to provide power to data centers... We believe that natural gas with or without carbon capture is a great solution for that." CEO Mike Wirth said, "These hyperscalers... need off-grid power to reach the market quickly... Our approach is to build a different kind of value proposition for a different kind of a customer... gigawatt-scale generation... Speed to market is an important differentiator." On Bloomberg Surveillance, Wirth said:

"There's a tremendous amount of interest and activity," and emphasized that "Speed to market is an important differentiator."

CEO Wirth has placed this strategy within a broader context of global energy needs, emphasizing, "The world needs to be focused on a transition that addresses climate change and still delivers affordable, reliable energy." This view aligns directly with serving the intensive, 24/7 reliability required by the AI industry. During the Gastech conference in September 2024, Wirth highlighted the role that the Permian Basin could play in powering data centers. "Natural gas will help power the rapid growth of artificial intelligence with its insatiable demand for reliable electricity," Wirth said. "This means AI's advance will depend not only on the design labs of Silicon Valley, but also on the gas fields of the Permian Basin."

Chevron's recent remarks highlight the accelerating energy demands of the AI boom and reinforce the broader investment case. Jeff Gustavson, President of Chevron New Energies, told *Axios* in May 2025 that **Chevron's initiative to build gas-fired plants directly supplying power to data centers is "moving very quickly," and that "final agreements with hyperscalers could come soon."** He emphasized the company's focus on serving the unique energy needs of large-scale technology firms, particularly in regions like Texas that offer favorable gas supply and regulatory environments. A Chevron spokesperson echoed this urgency, noting that discussions with **"all the large hyperscalers and co-locators" are "well advanced" and aligned with the demand for "solutions at speed and scale."** These developments illustrate how traditional energy providers are becoming critical enablers of AI infrastructure suggesting that Exxon, with its scale, gas reserves, and operational footprint, is well positioned to benefit from this generational shift. These potential announcements from major tech firms represent a material near-term catalyst that I believe would lead to a re-rating by investors. These deals would not only validate Chevron's AI power thesis but also lock in long-term more predictable revenue streams that resemble utility cash flows.

ExxonMobil's leadership has highlighted the company's unique capability to address the urgent and continuous power needs of AI-driven data centers. CEO Darren Woods noted, "If you are banking on nuclear and waiting for something in the future, the timeline is quite extensive... [Exxon is] better equipped than any other in the U.S. to address the immediate and short-term energy requirements of AI." During Exxon's January earnings call Woods said, **"We're well positioned to**

meet surging demand from data centers for low-carbon power, and on a timetable that alternatives such as nuclear simply can't match." Echoing this sentiment, CFO Kathryn Mikells emphasized that ExxonMobil is positioned to deliver high reliability and low carbon intensity to accommodate the "escalating requirements for computing power in artificial intelligence," with proposed gas facilities operating independently from the utility grid for faster deployment and uninterrupted service. These statements underscore ExxonMobil's potential role in supporting the around-the-clock, non-cyclical energy demands of AI infrastructure.

Exxon also has a major advantage through its expanding LNG portfolio. With a target to grow its capacity to 40 mtpa by 2030, Exxon can serve international markets in Europe and Asia where AI infrastructure growth is also driving new demand for reliable power.

One of the most underappreciated aspects of this energy demand shift is that AI-driven electricity consumption is structurally different from traditional energy cycles. Historically, energy demand has been closely tied to nominal GDP growth, rising in expansions and dipping in recessions. By contrast, AI workloads are not cyclical. They are fueled by:

1. **Hyperscaler Free Cash Flow:** Major AI players like Google, Microsoft, Amazon, and Meta are funding AI infrastructure with internally generated cash, not debt. Their balance sheets remain robust, allowing them to maintain capital spending regardless of interest rates or economic volatility.
2. **Global Government Support:** AI has become a strategic priority for national competitiveness. From the U.S. CHIPS and Science Act to massive sovereign AI initiatives in the EU, China, and the Middle East, governments are subsidizing AI growth directly — including building data centers and supporting energy infrastructure. This means AI energy demand is backstopped by sovereign capital, adding to its durability.
3. **Non-Discretionary Compute Growth:** As AI becomes embedded into core services — from enterprise software to national security — compute demand is no longer optional. Model training, inference, and edge deployments will continue growing even in downturns. This results in an electricity load that is more resilient than industrial or residential demand, giving providers of AI power infrastructure a rare form of secular growth.

This structural resilience suggests that Chevron and Exxon's investments in AI-adjacent energy infrastructure could produce more stable, long-duration cash flows than their traditional upstream businesses. If the market begins to price this utility-like stability and appreciates that these firms are serving the most creditworthy customers in the world valuation multiples may expand accordingly.

Despite these developments, the market continues to value Chevron and ExxonMobil primarily as cyclical oil companies. It has not yet priced in the possibility that these firms will become direct electricity suppliers to hyperscalers a role that could warrant higher valuation multiples. These are not speculative ventures: they are backed by existing infrastructure, proven gas supply chains, and carbon mitigation solutions eligible for U.S. 45Q tax credits.

Should final hyperscaler agreements be announced it would likely trigger a meaningful re-rating. Investors would be forced to recognize the non-cyclical, utility-like revenue streams emerging from Chevron and Exxon's AI power solutions. Given the scale of these projects (up to 4 GW for Chevron; 1.5 GW for Exxon), even partial deployment could generate billions in new, stable cash flows by 2030.

Chevron and ExxonMobil are not just oil giants; they are becoming electron giants at a time when the U.S. and the world face an impending shortage of electrons due to the exponential rise in electricity demand driven by the embodiment of AI. As intelligence moves off the cloud and into physical systems like robots, vehicles, and smart devices, electricity demand becomes more decentralized, time-sensitive, and non-negotiable. We are entering a world where machines, not just humans, drive, move, work, and think 24 hours a day, powered by electrons rather than gasoline or downtime. Investors must begin to think differently about this shift: the energy system of the past was designed around peak human activity; the energy system of the future must support continuous, automated, and distributed machine intelligence. With hyperscaler demand surging, grid constraints tightening, and nuclear or renewable alternatives years away from meaningful scale, gas with carbon capture has emerged as the only pragmatic bridge. Chevron and ExxonMobil, two of the largest power producers in the country, are executing at scale and positioning to supply this critical infrastructure, building modular gas plants, expanding LNG, and securing long-term energy partnerships with the most creditworthy

customers in the world. These companies offer not just dividends but asymmetric upside, as markets begin to re-rate them for their pivotal role in powering the AI age.

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